

Securities that only keep pace with inflation are not suitable for a long-term investment. Buying these investments would mean diverting funds from investments that pay interest and dividends that provide real growth potential for an investment that pays no income or dividends and that has no growth potential beyond inflation. These assets may be fine for traders who wish to speculate on their near-term price movements, but this book is not about short-term price speculation. It is about allocating capital into investments that have the potential for real long-term gains.

Commodities and precious metals are good examples of asset classes that historically have no real return. These asset classes are often touted as having occasional negative correlation with stocks and bonds which consequently lowers portfolio risk at times. However, there is no real return benefit from the money allocated to these investments over the long term.

Investors often read the high price volatility of commodities as a sign that this asset class should deliver real long-term returns in harmony with the price risk. This is incorrect. The price volatility alone does not generate investment returns. It is cash-flow factor that produces returns. It is the earnings growth from corporate stock that leads to cash dividends, interest income from bonds, rents from real estate, and the known scarcity value of collectibles such as rare coins. These are the things that create a real return. A barrel of oil does not swell into two barrels of oil, and an ounce of gold does not multiply into two ounces of gold. No commodity pays one penny in interest or dividends. Although the prices of commodities go up and down like a roller coaster, commodities have no ability to create real wealth for a long-term investor.

The Asset Class Has Low Correlation or Varying Correlation

After finding assets that pass the fundamental analysis test and the real return test, a third criterion for including an asset-class category in your potential list of investments is low correlation or varying correlation. Unique risk can be verified using a rolling correlation analysis. It is a visual illustration that shows how much the unique risk one asset classes has in relation to another over different periods.